

Hope in the time of desperation: On the Union Budget 2025

The Union Budget is built on expectation that people will spend more and **drive** growth.

The Union Budget 2025-26 **seeks** to **address** specific issues **plaguing** the Indian economy — **flagging** domestic demand, **sluggish** private investment and **tepid** wage growth **leading to** a **slowdown** in meaningful GDP growth. A closer **look** at the priorities and allocations **would** reveal that the approach is **cautious**, without the assurance that they would **indeed address** the **underlying** problems. The government has **seized upon** a **double-edged sword** — **substantial** tax breaks — to boost consumption and to drive growth, leaving it with little **room** to expand **public spending** on capital expenditure, which could have been another useful **lever** to achieve the same **end**. While putting more money in the hands of the middle class seems the right thing to do in a time of **unrelenting inflation**, the focus continues to be on **fiscal consolidation** with a targeted **fiscal deficit** of 4.4% of GDP in FY26, coming down from 4.8% in FY25. It has sought to project **augmented** direct tax receipts despite providing **tax rebate** incentives for a large segment of the salaried direct tax-payers. The expectation is that there would be better **compliance** with a greater use of technology, which was useful in increasing the direct tax revenue from a budgeted estimate of ₹11,87,000 crore to ₹12,57,000 crore (revised estimates) in FY25. The **highlight** of the Budget remains the move to ensure that **taxpayers** earning up to ₹12 lakh (excluding special rate income such as capital gains) **have** no tax liability due to the rebate provided. This is meant to boost demand among the salaried middle and lower middle-class sections, who get **substantial** benefits in the form of tax savings and could be expected to **spur** consumption. The Economic Survey had **pointed to** mixed trends in urban demand unlike **sustained** consumption growth in rural areas through this year, and this move clearly targets the problem. Also, there has been a **clamour** for relief from among direct tax-paying middle-class sections, who have had to **cope with** both rising inflation and indirect goods and service tax payments that **squeezed** their incomes; the Budget **addresses** this issue in good measure with tax incentives. In a way, this is also a response to **resentment** among the government's own sympathisers, and can be read as a way to **mitigate** any loss of political support.

While the salaried middle-class sections would indeed benefit and welcome the move, it is not clear if this measure alone will **stimulate** demand to the extent of creating a strong **virtuous** economic growth cycle. This is because private investment in the economy has been **stagnant**, with the corporate sector showing little **inclination** to step it up. The Budget continues the trend of **incentivising** the corporate sector to do so — **revenues** from corporate tax as a share of gross tax collections **are** estimated to fall slightly from 25.4% in FY25 to 25.3% in FY26. But **considering** that corporates have shown little inclination to increase investment despite low corporate tax rates and increased profitability, the government should have adopted an alternative approach, perhaps gradually **phasing out** the tax incentives.

The Budget continues the trend of a high allocation on capex — **albeit** with a reduced share compared to the previous Budgets since the COVID-19 pandemic. Allocations in road transport (the Ministry) and

telecom fell from 5.95% and 2.64% in RE for FY25 to 5.67% and 1.6% in BE26. Budgetary support for the Railways has also remained stagnant compared to FY25 RE. This is curious considering that the Railways have suffered a series of accidents in recent years and require a strong infrastructural boost. However, the government has done well to emphasise support for MSMEs with enhanced credit (guarantee cover increased from ₹5 crore to ₹10 crore) and startups (from ₹10 crore to ₹20 crore) besides schemes for the footwear and leather industry, toy sector and food processing MSMEs. The attention **devoted** to expanding clean energy generation is **evident** in the incentives provided to the electric vehicle and battery technology sectors in the form of **duty exemptions** on **capital goods** among others. In terms of allocations, expenditure is budgeted to increase by 0.24 points from 1.36% in FY25 to 1.6% in FY26 in the energy sector. This is indeed welcome, considering the strategic importance of this sector as the country transits to a climate-friendly economy. While allocations for rural development increased from 4.08% in FY25 RE to 5.24% in FY26 BE, those for major schemes such as MGNREGS fell — from 1.82% in FY25 RE to 1.7% in FY26 BE. Allocations have been increased in other schemes such as the PM Awas Yojana and the National Rural Livelihoods Mission. The MGNREGS is tested as a scheme that enhances rural incomes and allows the rural poor to spend more on consumer goods, and any effort to **stifle** it would be **counterproductive** to the goal of **stimulating** demand. With employment remaining a major issue in the economy, the Budget's **emphasis** on social security for **gig workers** by arranging for identity cards for them and registration in the e-Shram portal, besides health care under the PM Jan Arogya Yojana, **is** welcome. While the Budget speech focused on skilling initiatives that would **aid** in youth gaining employment in an industrial world that is increasingly **relying upon automation**, the Employment Linked Incentive scheme, **ambitiously** launched last year, curiously did not find any mention in the Budget.

While the Budget has come up with measures that address the needs of the economy, there is too much left to hope built on **imponderables**, and too little **riding on pragmatism**. [\[Practice Exercise\]](#)

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Desperation** (noun) – Hopelessness, despair, distress, urgency, anguish निराशा, बेबसी
2. **Drive** (verb) – Propel, power, push, motivate, energize प्रेरित करना, आगे बढ़ाना
3. **Seek** (verb) – Search for, look for, pursue, strive for, aim for प्रयास करना
4. **Address** (verb) – Tackle, deal with, attend to, focus on, handle समाधान करना
5. **Plague** (verb) – Trouble, afflict, torment, harass, bother परेशान करना
6. **Flagging** (adjective) – Weakening, declining, waning, drooping, diminishing कमजोर पड़ता हुआ
7. **Sluggish** (adjective) – Slow, lethargic, inactive, languid, unenergetic सुस्त
8. **Tepid** (adjective) – Lukewarm, unenthusiastic, half-hearted, mild, dull उत्साहहीन
9. **Lead** (to) (verb) – Result in, cause, bring about, give rise to, trigger का कारण बनना
10. **Slowdown** (noun) – Decline, slump, downturn, deceleration, reduction मंदी
11. **Cautious** (adjective) – Careful, wary, prudent, circumspect, watchful सावधान
12. **Indeed** (adverb) – Truly, certainly, in fact, undoubtedly, genuinely वास्तव में
13. **Underlying** (adjective) – Fundamental, basic, core, essential, hidden मूलभूत
14. **Seize** (on) (verb) – Grasp, take advantage of, capitalize on, grab, embrace अवसर का लाभ उठाना
15. **A Double-edged sword** (phrase) – A situation with both advantages and disadvantages; blessing and curse दुधारी तलवार (जिसके फायदे और नुकसान दोनों हों)
16. **Substantial** (adjective) – Considerable, significant, sizeable, large, noteworthy काफी
17. **Room** (noun) – Space, scope, capacity, leeway, margin गुंजाइश
18. **Public spending** (noun) – Government expenditure, state spending, public expenditure, fiscal outlay, budget allocation सरकारी खर्च
19. **Lever** (noun) – Tool, instrument, mechanism, means, device साधन
20. **End** (noun) – Goal, objective, purpose, aim, outcome उद्देश्य
21. **Unrelenting** (adjective) – Relentless, unyielding, persistent, continuous, incessant निरंतर

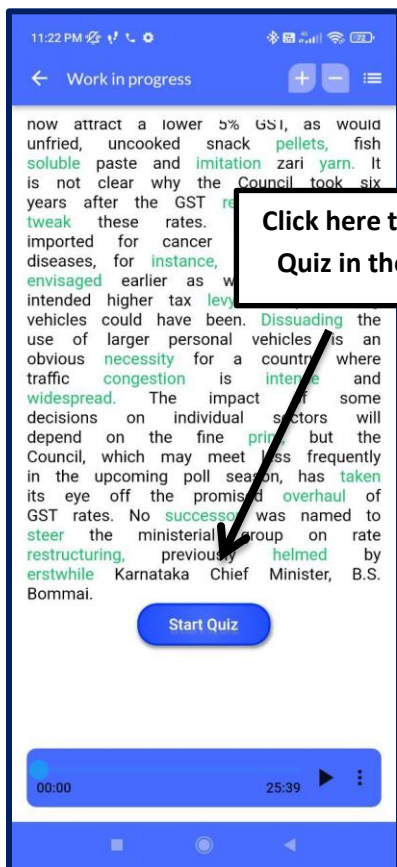
22. **Inflation** (noun) – Price rise, cost escalation, devaluation, currency depreciation, economic inflation मुद्रास्फीति
23. **Fiscal consolidation** (noun) – a government policy that aims to reduce a country's debt and deficits राजकोषीय अनुशासन
24. **Fiscal deficit** (noun) – Budget shortfall, excess expenditure over revenue, negative balance, government deficit, shortfall राजकोषीय घाटा
25. **Augment** (verb) – Increase, enhance, enlarge, boost, amplify बढ़ाना
26. **Tax rebate** (noun) – Tax relief, tax discount, refund, concession, deduction कर में छूट
27. **Compliance** (noun) – Adherence, observance, conformity, obedience, agreement अनुपालन
28. **Highlight** (noun) – Emphasize, underline, spotlight, stress, draw attention जोर
29. **Spur** (verb) – Stimulate, encourage, boost, motivate, incite प्रेरित करना
30. **Point to** (phrasal verb) – Indicate, suggest, show, hint at, imply संकेत देना
31. **Sustained** (adjective) – Continuous, ongoing, prolonged, consistent, maintained निरंतर
32. **Clamour** (noun) – Outcry, demand, protest, uproar, hue and cry कोलाहल
33. **Cope with** (phrasal verb) – Manage, deal with, handle, tackle, handle successfully सामना करना
34. **Squeeze** (verb) – Compress, tighten, reduce, constrict, hamper कम करना
35. **Resentment** (noun) – Bitterness, anger, displeasure, grudge, irritation नाराज़गी
36. **Mitigate** (verb) – Lessen, reduce, alleviate, ease, moderate कम करना
37. **Stimulate** (verb) – Encourage, boost, provoke, excite, galvanize प्रेरित करना
38. **Virtuous** (adjective) – Righteous, good, moral, ethical, upright नैतिक/ गुणवान
39. **Stagnant** (adjective) – Still, inactive, motionless, sluggish, idle निष्क्रिय
40. **Inclination** (noun) – Tendency, leaning, preference, disposition, proclivity झुकाव
41. **Incentivise** (verb) – Motivate, encourage, stimulate, spur, drive प्रोत्साहन देना
42. **Considering** (preposition) – Given, in view of, taking into account, bearing in mind, in light of ध्यान में रखते हुए
43. **Phase out** (phrasal verb) – Discontinue gradually, withdraw, remove step by step, retire, wind down धीरे-धीरे समाप्त करना

44. **Albeit** (adverb) – Although, even though, though, despite, notwithstanding हालांकि
45. **Devote** (verb) – Dedicate, allocate, commit, allot, give समर्पित करना
46. **Evident** (adjective) – Obvious, clear, apparent, manifest, plain स्पष्ट
47. **Duty exemption** (noun) – Tax waiver, tariff relief, excise concession, levy exemption, customs relief कर में छूट
48. **Capital goods** (noun) – Productive assets, industrial equipment, machinery, infrastructure assets, manufacturing machinery पूंजीगत वस्तुएँ
49. **Stifle** (verb) – Suppress, restrain, inhibit, suffocate, hamper दबाना
50. **Counterproductive** (adjective) – Harmful, self-defeating, opposite to intended effect, unproductive, ineffective प्रतिकूल
51. **Stimulate** (verb) – Spur, energize, catalyze, arouse, incite प्रेरित करना
52. **Gig worker** (noun) – Freelance worker, contract worker, independent contractor, on-demand worker, temporary worker अस्थायी कर्मचारी
53. **Aid** (verb) – Help, assist, support, facilitate, bolster मदद करना
54. **Rely** (on) (verb) – Depend on, count on, trust in, lean on, be contingent on निर्भर करना
55. **Automation** (noun) – Mechanization, computerization, robotics, automatic operation, industrial automation स्वचालन
56. **Ambitiously** (adverb) – Determinedly, aspirationally, boldly, purposefully, drivenly उत्साहपूर्वक
57. **Imponderable** (noun) – Unknown, intangible, incalculable factor, inscrutable matter, uncertainty अनिश्चित घटक, जिसका आकलन करना कठिन
58. **Ride on** (verb) – Depend on, hinge on, rest on, be contingent upon, rely on निर्भर होना
59. **Pragmatism** (noun) – Realism, practicality, matter-of-factness, common sense, logical approach व्यावहारिकता

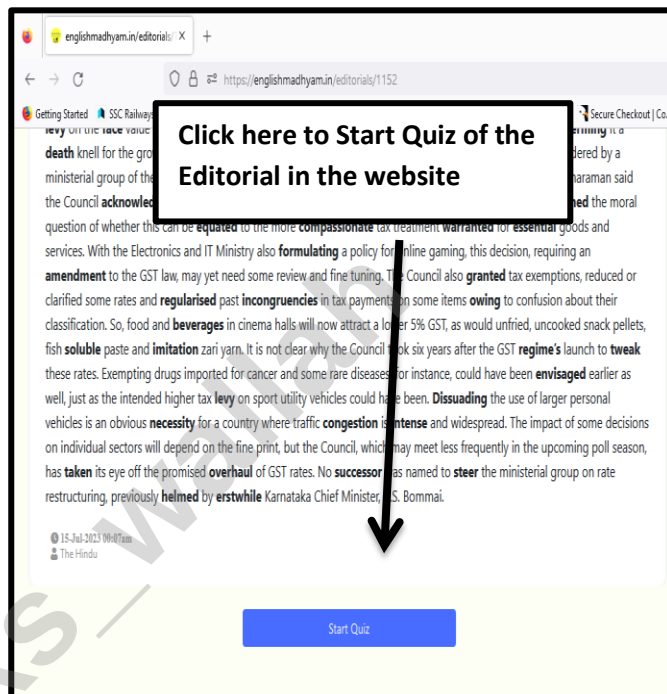
Summary of the Editorial

1. **Focus on Demand & Growth** – The Budget aims to stimulate growth by encouraging higher consumer spending amid weak private investment and slow wage growth.
2. **Cautious Approach** – The government has taken a cautious approach in its allocations, without certainty that these measures will resolve economic challenges.
3. **Tax Breaks for Consumption** – Substantial tax breaks have been introduced to boost middle-class spending, but this limits the government's ability to increase capital expenditure.
4. **Fiscal Deficit Reduction** – The fiscal deficit is set to reduce from **4.8% of GDP in FY25 to 4.4% in FY26**, signaling a focus on fiscal discipline.
5. **Direct Tax Compliance Push** – Despite tax rebates, the government expects increased tax compliance through better technology use, as seen in higher-than-estimated collections in FY25.
6. **Middle-Class Tax Relief** – Salaried individuals earning up to ₹12 lakh will have no tax liability, aiming to increase disposable income and drive consumption.
7. **Addressing Inflation & GST Burden** – Relief has been provided to the middle class, who faced challenges from inflation and indirect tax burdens.
8. **Uncertainty Over Demand Growth** – While tax cuts will benefit the middle class, it is unclear if this alone will trigger a strong economic growth cycle.
9. **Stagnant Private Investment** – Despite corporate tax incentives, private sector investment remains sluggish, suggesting an alternative approach might be needed.
10. **Capex Allocation Adjustments** – Capital expenditure allocations remain high but are lower compared to post-COVID budgets, with declines in road transport, telecom, and railways funding.
11. **MSME & Startup Support** – Increased credit guarantees for MSMEs and startups, alongside incentives for industries like footwear, toys, and food processing, aim to boost small businesses.
12. **Push for Clean Energy** – Incentives for EVs and battery technology, along with increased energy sector spending (from **1.36% to 1.6% of GDP**), align with climate goals.
13. **Rural Development & MGNREGS Cuts** – Rural development spending has increased, but funding for MGNREGS has declined, which may hurt rural demand stimulation.
14. **Social Security for Gig Workers** – New initiatives for gig workers, including identity cards, e-Shram portal registration, and health coverage under PM Jan Arogya Yojana, aim to provide some security.
15. **Budget Relies on Optimism** – While the Budget introduces necessary measures, much is based on hopeful projections rather than solid, pragmatic strategies.

Practice Exercise: Banking Pattern Based



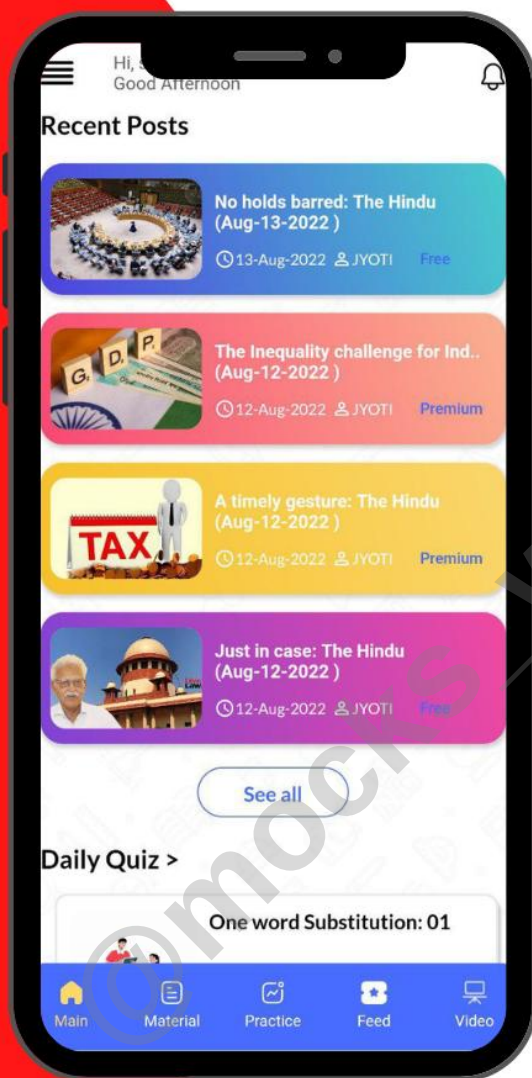
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